WAVERLEY GATEWAY GUIDE

Connecting International Capital

CROATIA

Europe

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Zagreb	Capital and largest economy; seat of government, the Croatian National Bank and most international firms, with a strong IT and business-services base	IT and software, business services, finance, real estate
Rijeka	Croatia's main cargo port, where the €380 million Rijeka Gateway container terminal, run by APM Terminals and ENNA, opened in September 2025 with capacity of 650,000 TEU	Port logistics, shipping, rail freight
Krk island	Home to the LNG terminal whose regasification capacity rose from 3.9 to 6.1 billion cubic metres a year, supplying Croatia and neighbouring markets	LNG, gas trading, energy infrastructure
Split and Dalmatia	Croatia's leading tourism region and second-largest city, with ports and airports serving the Adriatic coast	Tourism and hospitality, real estate, marine services
Istria and the Kvarner coast	Established tourism and light-industry region close to Italy and Slovenia	Hospitality, food processing, light manufacturing
Osijek and Slavonia	Agricultural heartland in eastern Croatia with competitive land and labour costs and Danube access	Agro-processing, food, renewables, manufacturing
Zadar and northern Dalmatia	Coastal city with a port and airport, supporting tourism and nautical industries	Tourism, nautical services, aquaculture

INVESTOR ENTRY ROUTES

- Invest Croatia, the investment service of the Ministry of Economy, offers free support on incentives, site selection, meetings with authorities and aftercare
- Investment Promotion Act incentives: corporate tax reductions of 50%, 75% or 100% for 10 years for investments above €150,000, €1 million and €3 million with 5, 10 and 15 new jobs
- Employment and capital-expenditure grants, with employment grants of up to €15,000 per worker in areas of higher unemployment
- Corporate income tax of 18%, or 10% for companies with revenue below €1 million
- Euro-area membership: the euro is the national currency and the Croatian National Bank is part of the Eurosystem, with free capital movement under EU rules

- EU single-market and Schengen membership, giving free movement of goods, services, capital and people across the EU
- EU co-financing through the Recovery and Resilience Facility and cohesion funds, which are lifting public investment to a record 6.4% of GDP in 2026

MARKET-ENTRY OBSERVATION

Croatia in November 2026 offers investors a stable euro-area and Schengen member with strong growth momentum, low public debt by euro-area standards and improving credentials. GDP grew 3.4% in 2025, among the faster rates in the euro area, and 2.2% and 1.7% year-on-year in the first two quarters of 2026, supported by construction, government spending and exports. Public investment is set to reach a record 6.4% of GDP in 2026 as EU recovery and cohesion funds are absorbed. Croatia left the FATF grey list in June 2025, S&P raised its rating to A in March 2026, and it is in the final stage of accession to the OECD. New infrastructure, including the Rijeka Gateway container terminal and the expanded LNG terminal on Krk, is strengthening its role as a gateway to Central and South-East Europe.

Croatia's main structural challenge is containing inflation and keeping public finances on track as EU recovery funding winds down. Inflation reached 4.9% in October 2026, driven by energy prices up 20.7% and services up 7.5%, and remains among the higher rates in the euro area. The deficit was 3.0% of GDP in 2025, reflecting higher investment, wages and social spending. The starting position is nonetheless strong: public debt was 56.3% of GDP in 2025 and is forecast to keep falling, euro membership removes currency risk, and ECB policy, with the deposit rate at 2.5%, anchors financing conditions. EU cohesion funds will continue after the Recovery Facility closes, creating sustained opportunities in energy, transport, tourism upgrading and manufacturing.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Inflation and cost pressures	Inflation reached 4.9% in October 2026, led by energy and services, raising wage and input costs	ECB policy anchors prices; build energy and wage scenarios into plans and consider energy-efficiency investment
Fiscal position after the Recovery Facility	The deficit was 3.0% of GDP in 2025 and public investment is expected to ease after the facility closes	Debt of 56.3% of GDP is moderate and falling; other EU funds will continue to co-finance projects
Slowing growth in 2026	Growth eased to 1.7% in the second quarter of 2026 as household spending slowed	Construction, exports and EU-funded investment continue to support activity; focus on sectors linked to these drivers
Labour availability	Unemployment near 4.8% means skilled labour can be scarce, especially in tourism and construction	Use employment grants, partner with universities and consider regions with higher unemployment, where incentives are larger
Administrative and permitting processes	Permitting and land registration can be slow for investors new to the market	Invest Croatia offers free guidance; OECD accession is driving further regulatory reform
Rail connectivity to Rijeka	The long-planned lowland railway serving Rijeka is not yet complete, limiting rail freight capacity	Port expansion is under way and officials are pushing to accelerate the rail link, creating opportunities for logistics investors
Seasonality of the tourism economy	Tourism is concentrated in the summer months on the Adriatic coast	Target year-round segments such as health, congress and nautical tourism and diversify into manufacturing and IT

INVESTOR RISK NOTE

Croatia's risk profile is that of a stable EU, euro-area and Schengen member with moderate and falling public debt, A-category credit ratings and strengthening institutional credentials. Exit from the FATF grey list in June 2025 and the advanced stage of OECD accession are lasting gains, and the government led by Prime Minister Andrej Plenković, in office since May 2024, offers policy continuity. The main near-term issues are inflation of 4.9% in

October 2026, among the higher rates in the euro area, and the fiscal adjustment as Recovery Facility funding ends; both are being managed within the EU and euro-area framework. Investors benefit from the legal certainty of EU law, the convenience of the euro and a generous investment incentive regime, and no sanctions or legal restrictions materially limit investment in Croatia.

MARKET ACCESS

As a member of the EU, Croatia gives investors tariff-free access to the EU single market and to all the EU's free trade agreements, with WTO membership and the EU's common trade policy governing trade with third countries. The euro removes exchange-rate costs for trade with euro-area partners, and Schengen membership allows passport-free movement across most of the EU. Croatia's Adriatic ports, led by Rijeka and its new container terminal, offer Central European markets a short sea route to the Suez Canal and Asia, and the expanded Krk LNG terminal, which has supplied more than 60% of gas entering Croatia's transmission network, positions the country as a regional energy entry point. Croatia is also a natural base for serving neighbouring Bosnia and Herzegovina, Serbia and Montenegro.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Government of Croatia (Prime Minister Andrej Plenković)	Sets economic, fiscal and reform policy; the coalition of the HDZ and the Homeland Movement has governed since May 2024	Primary reference point for Croatia's strategic direction and major projects
Ministry of Economy and Invest Croatia	Leads industrial and energy policy and runs Invest Croatia, which administers Investment Promotion Act incentives; Minister Ante Šušnjar	Standard first point of contact for market entry and incentives
Croatian National Bank (HNB)	Member of the Eurosystem whose governor sits on the ECB Governing Council; supervises banks within the Single Supervisory Mechanism	Relevant for banking, payments and financial-sector matters
Ministry of Finance (Minister Tomislav Ćorić)	Leads the budget, tax policy and OECD accession work	Key counterpart on tax, fiscal and public-finance matters
LNG Hrvatska	Operator of the Krk LNG terminal, now with 6.1 billion cubic metres of annual capacity	Counterpart for gas supply, trading and regional energy-security projects
Port of Rijeka Authority and Rijeka Gateway	Manage Croatia's main port and its new container terminal, operated by APM Terminals and ENNA	Relevant for logistics, shipping and port-related investment
Croatian Bank for Reconstruction and Development (HBOR)	State development bank providing loans and guarantees and channelling EU financial instruments	Potential co-financier for export, SME and infrastructure projects

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce in Croatia, the British Croatian Chamber of Commerce, the German-Croatian Chamber of Industry and Commerce and the Croatian Chamber of Economy are the main business associations, with sector committees and regular dialogue with government, while the Croatian Employers' Association represents domestic business. Invest Croatia promotes the country at international events and supports investors before and after entry. The European Bank for Reconstruction and Development, which invested €287.4 million in 17 private-sector projects in Croatia in 2025, the European Investment Bank and the World Bank are active in energy, manufacturing and finance, and EU-funded programmes managed by national ministries offer co-financing for qualifying projects. Embassies of major EU partners, the UK and the US maintain commercial sections that are a useful source of introductions.

INVESTOR PROFILE BEST SUITED

Croatia suits investors seeking a stable euro-area base on the Adriatic: logistics and port investors using Rijeka and the Krk LNG terminal to serve Central and South-East Europe; tourism and real-estate investors upgrading hotels and developing year-round offers along the coast; IT, software and business-services companies in Zagreb, which can access incentives from €50,000 of investment; manufacturers and agro-processors in Slavonia and other regions with higher unemployment, where employment grants are largest; and energy investors in renewables, storage and gas infrastructure supported by EU funds.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Invest Croatia and assess incentives
Open direct dialogue with the Ministry of Economy's investment service to test eligibility for corporate tax reductions and employment and capital grants.

STEP 2: Shortlist locations by sector and incentive level
Compare Zagreb, the Adriatic ports and regions with higher unemployment, where employment grants reach up to €15,000 per worker.

STEP 3: Map EU funding opportunities
Identify remaining Recovery Facility and cohesion programmes that can co-finance energy, transport, digital or tourism components of a project.

STEP 4: Plan for cost and inflation developments
Build wage and energy-price assumptions into financial models and track the 2027 budget and fiscal measures.

STEP 5: Use regional gateway infrastructure
Assess Rijeka Gateway and the Krk LNG terminal as platforms for serving neighbouring markets in Central and South-East Europe.